



Cooper & Susan Sample

Retirement Plan Memo

Current vs. Proposed

Prepared by Ethos Financial Group

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Personal & Confidential

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Executive Summary

Cooper & Susan, by retiring at 67 instead of 65, adjusting your lifestyle assumption to a more realistic level, and reallocating retirement assets toward a growth-oriented portfolio, the proposed plan projects a meaningfully stronger financial picture across every horizon we measured. At plan end the proposed path holds roughly \$16.9M of total assets versus \$12.2M on the current plan — about \$4.7M more (+39%) — and the projected legacy at second death grows to \$17.8M versus \$13.0M, roughly \$4.7M more available to heirs. Lifetime taxes rise by \$608K (from \$2.5M to \$3.1M) because the proposed plan runs a longer Roth-conversion ladder (\$3.6M converted vs \$2.4M) — but that pulls taxes forward at known low-bracket rates and replaces them with decades of tax-free growth and lower RMDs in your 80s. Across 1,000 Monte Carlo trials the probability your portfolio supports your spending need through age 100 improves from 60% to 64%, and the median trajectory of liquid assets at plan end rises from \$3.9M on the current plan to \$5.5M on the proposed plan — a stronger central case in addition to a higher success rate. In short — for you, Cooper & Susan, the proposed plan trades two extra working years and a larger Roth strategy today for substantially more durability throughout retirement, a healthier legacy, and a clearer line of sight to your long-term goals.

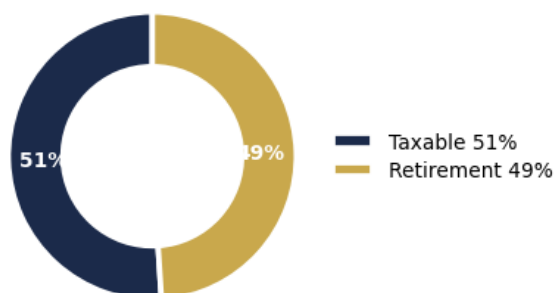
SUCCESS RATE	ENDING PORTFOLIO	LIFETIME INCOME TAXES	LIFETIME WITHDRAWALS
60% → 64%	\$12.2M → \$16.9M	\$2.5M → \$3.1M	\$10.4M → \$12.4M
Higher is better	+\$4.7M (+39%)	+\$608K (income tax, no estate tax...)	Total portfolio draws over horizon

What's Different in the Proposed Plan

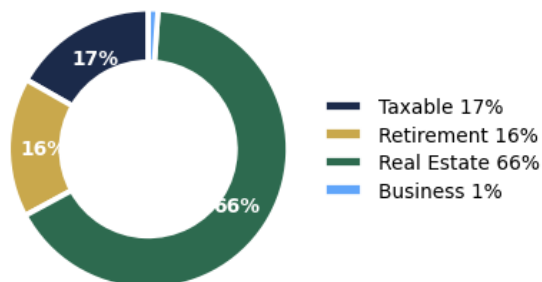
- **Push retirement age** from 65 to 67 (+2 years of additional earnings, saving, and deferred withdrawals).
- **Raise the “Retirement Living Expenses” assumption** from \$130K to \$160K per year (today's dollars) so the plan reflects realistic post-retirement spending, not an optimistic floor.
- **Run a longer Roth-conversion ladder** — \$3.6M total converted vs \$2.4M on the current path (about \$1.2M more), trading income tax today for tax-free growth and lower future RMDs (see the dedicated section on page 3).
- **Reallocate 6 accounts into the Aggressive (100/0) model portfolio** — 100% equity, no fixed income starting in 2026 (Special Needs Trust — Cash, IRA, Roth IRA - Cooper and 3 more). Reinvested cash compounds harder over the long horizon.
- **Outcome:** ending portfolio of \$16.9M versus \$12.2M under the current plan — a \$4.7M improvement.

Asset Composition Today

Investable Assets

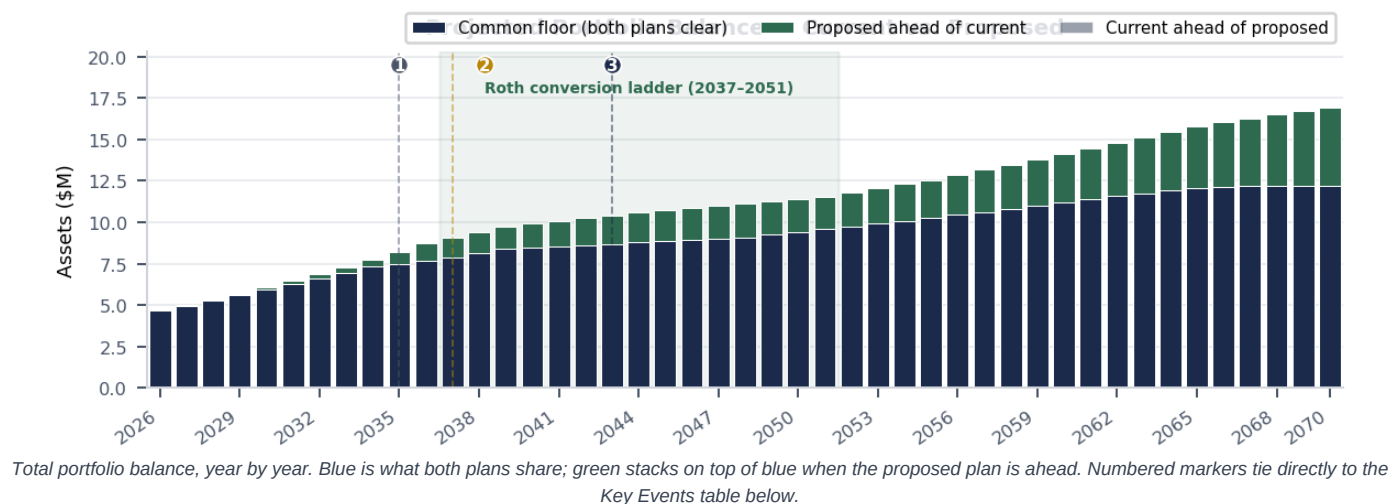


All Household Assets



Today the household has \$1.5M in investable assets (taxable, retirement, and cash) plus \$3.0M in real estate and other illiquid holdings. The Monte Carlo simulation and the projections that follow focus on the investable portfolio — that's the bucket that funds spending once salaries stop. The proposed plan keeps every illiquid asset in place and changes only how the investable side is funded and managed.

When the Plan Changes



Key Events on the Proposed Path

1	2035	Under the current plan — Cooper retires (age 65)
2	2037	Cooper retires (age 67) and Social Security begins (age 67)
3	2043	RMDs begin on tax-deferred accounts (age 73)
4	2037–2051	Roth conversion window — \$3.6M moved from IRA to Roth, paid at known low brackets
5	2040	Susan retires (age 65)
6	2070	Plan horizon — projected legacy of \$17.8M transfers to heirs

Roth Conversion Strategy

The proposed plan runs a **15-year Roth conversion ladder** from **2037–2051**, moving **\$3.6M** from IRA into Roth IRA - Cooper — about \$1.2M more than the current plan converts (\$2.4M). Each conversion is sized to fill the household's lower marginal-rate brackets before RMDs begin in **2043**, so the income is recognized at today's known rates rather than at the higher RMD-driven rates that would otherwise apply once both Social Security and required distributions stack on top of one another.

CONVERSION WINDOW 2037–2051 15 years before RMDs	TOTAL CONVERTED \$3.6M vs \$2.4M on current plan	TAX COST DURING WINDOW +\$504K Extra income tax vs current plan	LONG-TERM REWARD +\$4.7M Ending portfolio vs current plan
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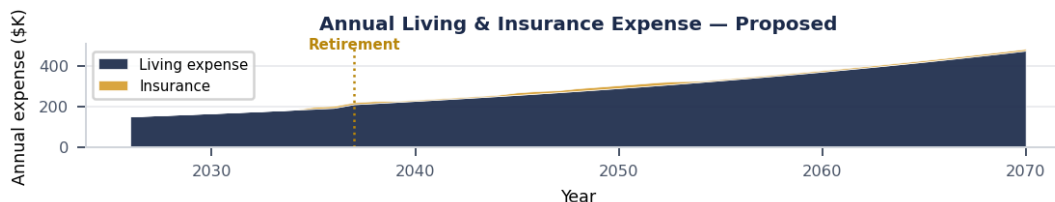
Why this works: Roth dollars grow tax-free for life, are never subject to RMDs, and pass to heirs without an embedded income-tax liability. The cost is paying income tax sooner — but at brackets we can see and control today rather than at rates set by future tax law and a much larger required distribution.

Spending, Income & Taxes

How Spending Works

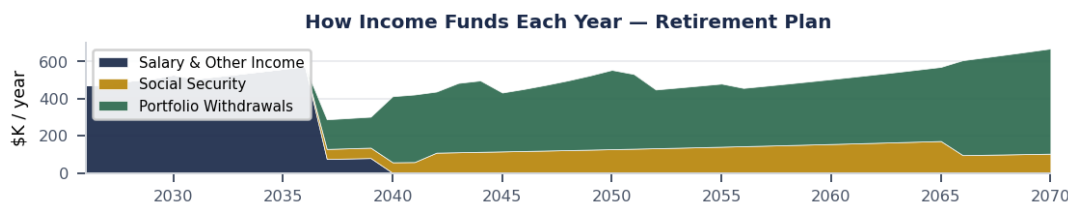
Spending is modeled in two phases. **Pre-retirement** the plan carries a **\$150K/yr lifestyle assumption** (today's dollars), inflating at **3.0%/yr** until Cooper retires. **Post-retirement** the assumption resets to **\$160K/yr** in today's dollars — the line item the proposed plan raised from \$130K so the projection reflects what life actually costs rather than an optimistic floor.

Inflated forward, that translates to roughly \$150K of living expense in Year 1 (2026), about \$210K in the first full year of retirement (2037), and \$474K at plan end (2070). Insurance premiums are layered on top — starting at \$0 in Year 1 and growing with healthcare inflation as Medicare picks up coverage.



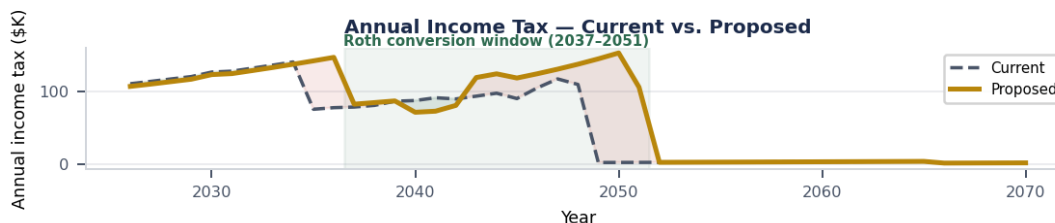
How Income Funds Each Year

Through 2036, salary funds the household. Starting in 2037, Cooper's salary ends; Social Security begins in 2037, and Susan retires in 2040. From that point on, Social Security covers a steady baseline and portfolio withdrawals fill the gap between expenses and other income.



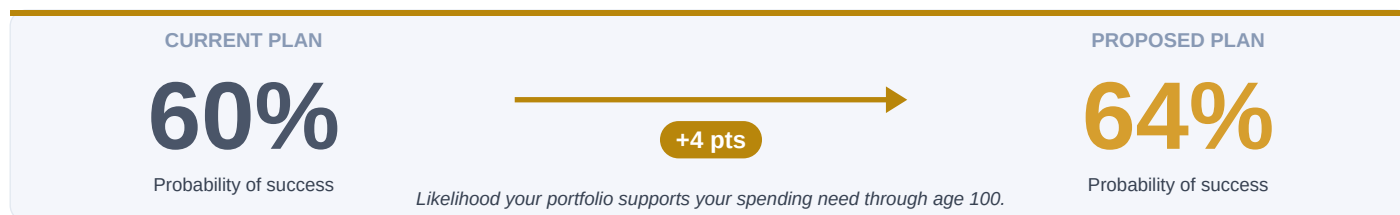
Income Tax Over Time

Across the entire plan, the proposed strategy pays **\$3.1M** in federal income tax (ordinary, capital-gains, and the taxable portion of Social Security) versus **\$2.5M** on the current plan — **+\$608K** more (+25%). Almost all of that swing concentrates inside the Roth-conversion window (2037–2051), shown shaded below. The after-window years often run *lower* than the current plan because RMDs are smaller on a shrunken IRA. **Estate tax is projected at \$0** in both plans — the federal exemption fully covers the projected estate at second death — so this is an income-tax-only comparison.



Retirement Plan Analysis

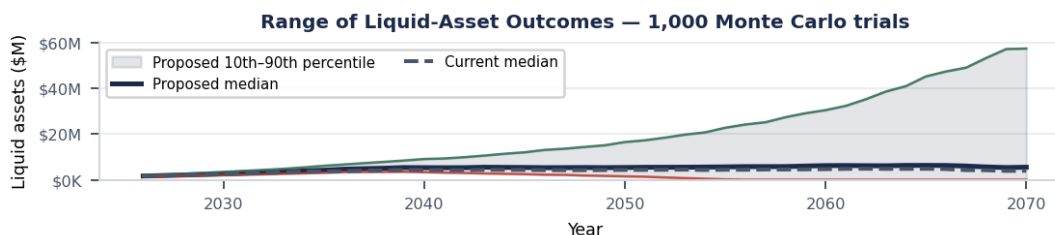
Stress-testing both plans across 1,000 Monte Carlo trials of market returns.



And the dollar impact: projected total portfolio at plan end of **\$16.9M** versus **\$12.2M** (+39%, or about \$4.7M more) — and a median Monte Carlo ending liquid balance of **\$5.5M** versus **\$3.9M**.

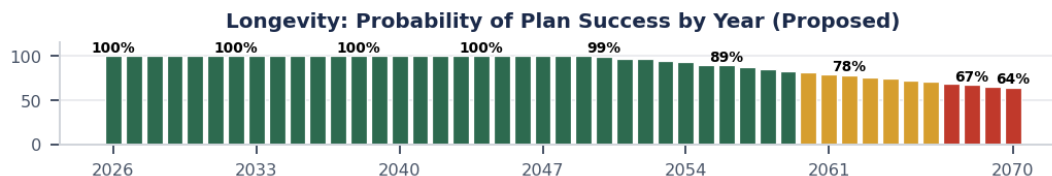


Range of Outcomes

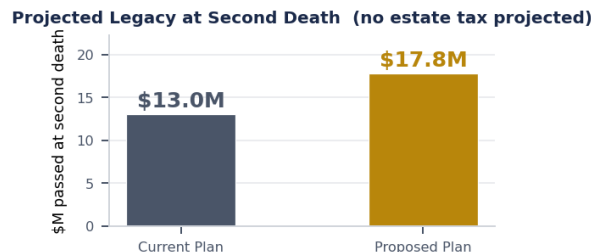
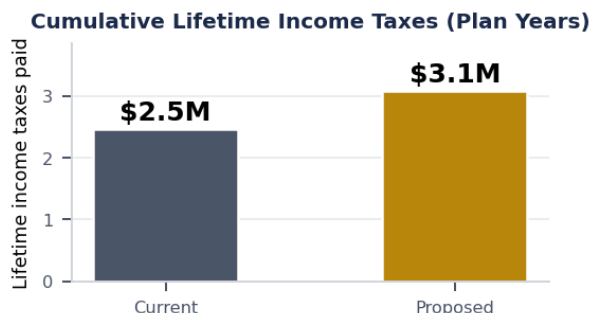


10th–90th percentile band of liquid-asset balances across the 1,000 trials. The proposed median sits above the current median once the Roth window closes.

Longevity Risk



Lifetime Income Tax & Legacy



Disclosure: This report is provided to you by Ethos Financial Group, LLC for informational purposes only. Monte Carlo projections randomize annual market returns around long-term asset-class assumptions and are not predictions; actual results will differ. Tax modeling uses currently published federal brackets and IRS tables. This report is not investment, tax, or legal advice. Please contact Ethos Financial Group, LLC with any questions.